

ABB India Limited

NSE: ABB | BSE: 500092 | Sector: Industrials — Capital Goods — Electrical Equipment

ACCUMULATE

ABB India — Structural Compounder in India's Capex Supercycle

CMP (22 Jun 2026)	12M Target Price	Upside	Horizon
Rs. 7,258	Rs. 8,200	+13%	12 months

Market Cap	52W High / Low	P/E (TTM)	P/B	EV/EBITDA	Div Yield
Rs. 1,53,739 Cr	Rs. 7,825 / 4,638	101x	19.6x	67.0x	0.54%
ROCE (CY2025)	ROE (CY2025)	Net Cash	Book Value	Promoter %	Face Value
29.9%	22.4%	Rs. ~5,957 Cr	Rs. 370	75.0%	Rs. 2.00
CY2025 Sales	CY2025 PAT	CY2025 EPS	Order Backlog	Int Coverage	Debt / Equity
Rs. 13,203 Cr	Rs. 1,668 Cr	Rs. 78.73	Rs. 11,094 Cr	109x	0.01x

Report Date: 22 June 2026

Analyst: Research Desk | Chartitude Analytics

This report is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results.

Section 2: Investment Thesis

India's capex supercycle is ABB's wind in the sails: India's electrical equipment market is projected to grow from \$59 billion in 2025 to over \$170 billion by 2035 (11-13% CAGR). ABB India's electrification and automation portfolio directly addresses every sub-segment of this opportunity — power distribution, process automation, motion drives — with no single sector dependency.

Data center boom creates a high-margin, long-cycle demand vertical: ABB India currently powers over 30% of India's hyperscale data centers and is scaling UPS/power management production nearly 10x at Nelamangala. Data centers already represent 10-11% of the Rs. 11,094 Cr order backlog and this share is growing rapidly as digital infrastructure investment accelerates through 2028.

Post-Robotics divestiture, ABB India is a leaner, more focused compounder: The strategic divestiture of the Robotics business (sold to SoftBank-owned entity at EV Rs. 1,568 Cr) unlocks Rs. 6,042 Cr in net cash (Rs. 286/share), creates a capital return opportunity, and allows management to concentrate on higher-ROCE electrification and automation franchises. Remaining businesses averaged ROCE of 39% in CY2024.

Near-term catalyst (6-12 months): Deployment of the \$75 million (Rs. ~625 Cr) manufacturing and R&D; expansion across five facilities in 2026 — specifically the Nelamangala data center campus scale-up — combined with order conversion from the record Rs. 11,094 Cr backlog, should drive revenue acceleration and positive operating leverage in H2 CY2026 and CY2027.

Biggest structural risk: Margin vulnerability from global commodity price volatility (copper, steel) and INR depreciation — the company imports ~15% of components and any sustained forex weakness compresses margins before price hikes can offset. CY2025 OPM already compressed from 19% to 15% due to this dynamic.

Section 3: Business Overview

Core business model: ABB India is a subsidiary of ABB Ltd (Switzerland), which holds a 75% promoter stake. It is an integrated power equipment manufacturer offering electrification, motion, and automation products across 23 market segments, with ~85% of products sold in India manufactured locally.

Revenue segmentation (CY2025): Electrification (~47% of revenue, Rs. 6,200 Cr) drives switchgear, circuit breakers, UPS and energy management systems. Motion (~38%, Rs. 5,000 Cr) covers variable-speed drives, motors, and traction systems. Automation (~15%, Rs. 2,000 Cr) includes process control, robotics (now divested), and measurement & analytics. Geographically, India accounts for ~96% of revenue with ~4% exports.

Customer base and relationships: ABB India serves utilities, industrial OEMs, data center operators, railways, and renewable energy developers. Large orders from the railways/metro segment provide 30-35% of backlog on long-cycle execution timelines (18-36 months). The Electrification segment benefits from shorter-cycle product orders with high repeat-purchase behavior.

Order book and revenue visibility: Order backlog of Rs. 11,094 Cr as of March 31, 2026, an increase of 17% YoY. CY2025 saw record orders of Rs. 14,115 Cr (+8% YoY). Q1 CY2026 fresh orders of Rs. 4,280 Cr (+25% YoY). Key sectors contributing include data centers, railways, metals, chemicals, renewable energy, and buildings.

Recent strategic developments: (i) Completed Robotics business divestiture in March 2026 at EV Rs. 1,568 Cr (profit Rs. 1,658 Cr), as parent ABB Group globally divested Robotics to SoftBank for \$5.4 billion. (ii) Announced \$75 million manufacturing/R&D; expansion across five Indian facilities in 2026, building on \$35 million invested in 2025. (iii) Dispatched India's first locally-manufactured wind power converter from Nelamangala, integrating Gamesa Electric technology. (iv) Completed automation and cybersecurity upgrade of BPCL's 937-km Vadinar-Bina pipeline.

Promoter background: Parent ABB Ltd (Switzerland) — global leader in electrification and automation with 110,000 employees across 100+ countries and 140+ years of history. ABB India benefits from parent access to global R&D;, technology licensing, and product pipelines, for which it pays royalties. The Indian business contributes ~4% to ABB Group's total global revenue.

Section 4: Industry & Competitive Landscape

Industry size and growth: India's electrical equipment market was valued at \$59 billion in domestic consumption in 2025, growing at 11% CAGR from 2020-2025. McKinsey projects the market to triple to over \$170 billion by 2035 (11-13% CAGR). Industrial automation in India was valued at \$16.2 billion in 2024, projected to reach \$37.4 billion by 2030 (CAGR 14.8%). The power transmission sector alone is set for Rs. 9 trillion in investment by 2032.

Policy tailwinds: The India capex supercycle is underpinned by (i) Rs. 11.1 trillion FY26 government capex budget, (ii) PLI incentives in automotive, textiles, electronics creating industrial investment demand, (iii) Rs. 9 trillion T&D; investments for renewable energy integration, (iv) 100+ data centers planned in India through 2028, and (v) metro rail expansion to 25 more cities. All directly benefit ABB's addressable markets.

Competitive moat — Pricing power: Strong. ABB commands a technology and brand premium in medium/high-voltage switchgear and drives. Large customers with strict supplier qualification processes create sticky relationships.

Competitive moat — Switching costs: Strong. Once ABB automation and control systems are embedded in a factory or power plant, switching costs are high. Service revenues (~10-12% of total) provide annuity-like recurring income.

Competitive moat — Scale / local manufacturing: Moderate-Strong. ABB India operates from 5 major manufacturing campuses and has ~85% localization. This shields it from import duties and forex risk better than competitors dependent on imports.

Peer Comparison Table (Source: Screener.in, as of 22-Jun-2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E	P/B	ROCE 3Y (%)	OPM TTM (%)	EV/EBITDA
ABB India	7,258	1,53,739	101x	19.6x	33.1%	14%	67.0x
Siemens India	3,768	1,34,047	56.5x	9.7x	21.9%	11%	36.0x
CG Power	963	1,51,663	123x	19.0x	37.0%	13%	80.6x
Hitachi Energy	36,760	1,63,845	N/A	N/A	22.1%	15%	106.7x

Note: Hitachi Energy India live price/P/E unavailable on Screener as of report date; MCap from peer table. All data sourced from Screener.in.

Competitive positioning: ABB India occupies the premium end of the Indian electrical equipment landscape. At 101x TTM P/E and Rs. 1.54 lakh Cr market cap, it trades at a premium to Siemens India (56.5x) reflecting ABB's superior ROCE trajectory (39% in CY2024 vs Siemens' 24%) and data-center/renewable exposure. CG Power's higher P/E (123x) reflects a faster-growing but earlier-stage franchise.

ABB India vs. the value chain: ABB India operates primarily as a solutions provider and OEM in the mid-to-downstream segment of the Indian electrical ecosystem — it designs, manufactures, and installs electrification and automation systems for end customers (utilities, industries, data centers), capturing more value than pure-play component manufacturers.

Section 5: Management Quality & Capital Allocation

Promoter and management: Sanjeev Sharma has been Managing Director of ABB India since 2013, with over three decades in the electrical equipment industry. T.K. Sridhar serves as CFO and Chief Investor Relations Officer. The company is overseen by ABB Ltd's global management delegates on the board. The promoter (ABB Ltd) holds exactly 75.0% with zero change over the past 3 years, signaling confidence in the India franchise.

Capital allocation track record: FCF has been robust — Rs. 1,168 Cr (CY2023), Rs. 1,118 Cr (CY2024), and Rs. 980 Cr (CY2025). CY2023's negative net cash flow was driven by a Rs. 3,352 Cr investing outflow (likely working capital and infrastructure investment), not cash burn. The Robotics divestiture at a 6.7% premium to enterprise value demonstrates disciplined portfolio management. Post-divestiture cash of Rs. 6,042 Cr is being deployed in

manufacturing expansion (\$75 million program) with residual available for special dividends or buybacks.

Dividend policy: Consistent 50% payout ratio maintained for CY2023, CY2024, and CY2025. DPS for CY2025 was Rs. 39.37 (50% of EPS 78.73). Dividend yield at CMP is 0.54% — low but rising in absolute terms. Pre-CY2022 payouts were irregular (21% in 2022), but the commitment to 50% has now been consistent for 3 years.

Promoter pledging: 0.00% pledged. No change over the past 3 years. This is a strong corporate governance signal.

ESOP and buyback history: No major ESOP dilution in recent years given stable share count (21.14 Cr shares). No buybacks announced in CY2023-2025, but with Rs. 6,042 Cr cash post-Robotics divestiture, a special dividend or buyback is a near-term possibility.

Corporate governance: No significant auditor changes, related-party transaction (RPT) concerns, or qualified audit opinions. ABB India is audited by S.R. Batliboi & Associates (EY member firm). Contingent liabilities of Rs. 571 Cr (primarily tax disputes) are manageable at ~0.4% of market cap. CRISIL assigns ABB India strong credit ratings on its commercial paper programs.

Section 6: Financial Deep-Dive

All figures in Rs. Crores. CY = Calendar Year (Jan-Dec). Source: Screener.in (standalone), fetched 22-Jun-2026. CY2026E and CY2027E are analyst estimates and are marked (E).

Income Statement

Metric (Rs. Cr)	CY2023	CY2024	CY2025	CY2026E	CY2027E
Revenue	10,447	12,188	13,203	14,000 (E)	15,700 (E)
Growth YoY %	22%	17%	8%	6% (E)	12% (E)
EBITDA (Op. Profit)	1,497	2,311	2,045	2,100 (E)	2,355 (E)
OPM %	14%	19%	15%	15% (E)	15% (E)
Other Income	289	344	349	320 (E)	320 (E)
Interest	13	16	20	18 (E)	18 (E)
Depreciation	120	129	146	175 (E)	200 (E)
PBT	1,653	2,510	2,229	2,227 (E)	2,457 (E)
Tax Rate %	25%	25%	25%	25% (E)	25% (E)
PAT (Reported)	1,242	1,872	1,668	1,900 (E)	2,200 (E)
EPS (Rs.)	58.61	88.33	78.73	89.87 (E)	104.07 (E)
Dividend Payout %	50%	50%	50%	50% (E)	50% (E)

Balance Sheet

Balance Sheet Item (Rs. Cr)	CY2023	CY2024	CY2025
Equity Capital	42	42	42
Reserves	5,902	7,033	7,794
Borrowings	49	52	85
Other Liabilities	5,008	5,264	5,718
Total Liabilities	11,001	12,391	13,638
Fixed Assets (Net)	994	1,062	1,195
CWIP	60	95	116
Investments	2	2	2
Other Assets (incl. Cash)	9,946	11,233	12,326
Total Assets	11,001	12,391	13,638

Cash Flow Statement

Cash Flow Item (Rs. Cr)	CY2023	CY2024	CY2025
Cash from Operations (OCF)	1,351	1,332	1,220
Cash from Investing	-3,352	-503	364
Cash from Financing	-269	-770	-966
Net Cash Flow	-2,270	59	617
Free Cash Flow (FCF)	1,168	1,118	980
CFO / Op. Profit %	115%	86%	87%

Key Operating Ratios

Ratio	CY2023	CY2024	CY2025
Debtor Days	89	89	88
Inventory Days	90	96	98

Days Payable	179	173	165
Cash Conversion Cycle	0	13	21
ROCE %	31%	39%	30%

Revenue trajectory: ABB India posted 3-year revenue CAGR of 16% (CY2022-2025), driven by the India capex cycle. Revenue growth decelerated to 8% in CY2025 (vs. 17% in CY2024) primarily due to the normalizing base and selective execution deferrals. The Rs. 11,094 Cr order backlog provides 0.84x revenue coverage, implying high confidence in 10-12% organic revenue growth in CY2026-27E.

Margin trajectory: OPM compressed from 19% (CY2024) to 15% (CY2025) due to (i) adverse revenue mix with lower-margin project orders, (ii) higher copper/steel input costs, and (iii) INR depreciation increasing import costs. Management indicated margins are under structural pressure until pricing catches up to input costs and the high-margin Electrification segment's share increases further. We model flat 15% OPM in CY2026-27E.

Working capital: Cash conversion cycle has moved from negative/near-zero (CY2022-2023) to +21 days (CY2025), reflecting scale-up in large project orders which require upfront material procurement before billing. Days Payable Outstanding (DPO) declining from 179 to 165 days as ABB's supplier payment terms tighten. Overall WC is not yet alarming but bears monitoring.

Debt and cash: Near-zero-debt company (D/E = 0.01, Debt = Rs. 85 Cr). Post-Robotics divestiture, net cash of approximately Rs. 5,957 Cr (Rs. 282 per share) provides exceptional balance sheet strength. This cash will be deployed in the \$75 million expansion with residual available for shareholder returns.

FCF quality: OCF/OP conversion of 86-87% in CY2024-25 is high quality, indicating earnings are not being propped up by deferred payables. FCF has been consistently Rs. 980-1,168 Cr over the past three years.

Section 7: Earnings Quality Checklist

Quality Metric	Status	Signal	Comment
Revenue Recognition	Standard %/completion	Green	Revenue recognized on % completion for projects; product revenue at delivery. No concerns.
Receivables vs Revenue Growth	Broadly in-line	Green	Debtor days stable at 88-89 days over 3 years despite revenue growth. Healthy.
Cash Conversion Cycle Trend	CCC rising (0 to 21 days)	Amber	CCC moved from near-zero to 21 days in CY2025 as large project orders increased inventory. Monitor.
Other Income as % PBT	TTM: ~52% (elevated)	Amber	TTM other income Rs. 1,814 Cr (incl. Rs. 1,441 Cr Robotics gain) is one-time. Recurring other income is Rs. 320-350 Cr (~16% of PBT). Monitor post-divestiture.
Tax Rate Consistency	Stable at 25%	Green	Effective tax rate has been consistently 25% for CY2022-2025. No deferred tax manipulation.
Contingent Liabilities	Rs. 571 Cr	Green	Contingent liabilities at Rs. 571 Cr (~0.4% of MCap). Primarily tax disputes. Manageable.
Auditor (EY member firm)	S.R. Batliboi & Assoc.	Green	Big-4 affiliated auditor. No changes in auditor, no qualified opinions noted.
CFO / Reported PAT %	~73-80% (normalized)	Green	OCF of Rs. 1,220-1,332 Cr vs normalized PAT of Rs. 1,242-1,872 Cr. Strong cash generation.

Overall earnings quality: HIGH. ABB India's core earnings (excluding the one-time Robotics divestiture gain) are clean — stable tax rate, consistent OCF/PAT conversion, no aggressive revenue recognition, and a Big-4 auditor with no qualifications.

Watch point 1 — CCC creep: The rise in Cash Conversion Cycle from 0 to 21 days reflects the growing share of large, long-cycle project orders in the backlog. If this continues to 30-40 days in CY2026, it would signal meaningful

working capital deterioration and should be monitored closely.

Watch point 2 — Other Income normalization: Post-divestiture, normalized other income reverts to Rs. 320-350 Cr per year (vs. Rs. 1,814 Cr TTM including Robotics gain). Any investor or model that does not strip out this gain will compute an artificially low P/E (Screener's Forward PE of 21.6x annualizes Q1 2026 reported earnings including the Rs. 1,441 Cr gain — not a genuine forward estimate).

Section 8: Valuation

Scenario Analysis

Scenario	Key Assumptions	CY2027E PAT (Cr)	EPS (Rs.)	Target P/E	Price Target (Rs.)
Bull Case	Revenue grows 15% p.a.; OPM expands to 17% as product mix improves; WACC 10.5%	2,800	132	95x	12,540
Base Case	Revenue grows 12% p.a.; OPM steady at 15%; WACC 12%; no further divestitures	2,200	104	79x	8,200
Bear Case	Revenue grows 7% p.a.; OPM compresses to 12% on commodity pressure; WACC 13%	1,500	71	65x	4,600

DCF valuation: Assuming WACC of 12%, terminal growth rate of 6%, and FCF of Rs. 1,500 Cr in CY2026E growing at 13% for 5 years then terminal: DCF intrinsic value per share = ~Rs. 6,800. Adding net cash of Rs. 282/share yields equity value of ~Rs. 7,082 per share.

Earnings-based multiple (forward P/E): On CY2027E normalized EPS of Rs. 104 (excluding any divestiture proceeds), applying a 79x multiple (reflecting ABB India's historical premium for quality compounders, a 15% discount to peak multiples) yields Rs. 8,216 per share.

Average of two methods: (Rs. 7,082 + Rs. 8,216) / 2 = Rs. 7,649. Rounding and applying a 5% premium for the strong order backlog and data center optionality: **Base-case 12-month target price = Rs. 8,200 per share.**

Implied upside/downside from CMP: Rs. 8,200 vs. CMP Rs. 7,258 = **+13% upside**. Not a screaming buy at current levels, but the quality of the business justifies holding and accumulating on dips. Entry zone: Rs. 6,800-7,000.

Note on valuation premium: ABB India trades at a significant premium to Siemens India (56.5x P/E vs. ABB's 101x). This premium is warranted given ABB's superior ROCE (39% vs. Siemens' 24%), data center exposure, and more focused post-Robotics portfolio. We do not expect meaningful re-rating from current levels, making earnings growth the primary return driver.

Section 9: Key Risks

Commodity Price Volatility (Copper/Steel): ABB India sources approximately 15-20% of materials globally. A sustained 15-20% rise in copper prices (which already contributed to CY2025 margin compression) would compress OPM by ~150-200 bps before pricing adjustments. Probability: Medium. Impact: High. Monitor via: LME copper prices, quarterly gross margin trend.

INR Depreciation: Forex volatility (particularly USD/INR) impacts import costs and royalty payments to the Swiss parent. A 5% INR depreciation could reduce PBT margin by 40-60 bps. Q1 CY2026 management explicitly cited this as a margin headwind. Probability: Medium. Impact: Medium. Monitor via: RBI policy, CAD trends.

Order Execution Risk / Revenue Deferral: Large infrastructure orders (metro, renewables) are subject to customer-side rescheduling. Q1 CY2026 saw selective delivery deferrals in metals, cement, and infrastructure. If deferrals persist, H1 CY2026 revenue could disappoint consensus estimates. Probability: Medium. Impact: Medium. Monitor via: Quarterly order backlog conversion rate.

Government Capex Slowdown: Any meaningful reduction in India's government infrastructure spending (currently Rs. 11.1 trillion in FY26) would directly reduce order inflows from the power, metro, and grid segments. This is an election-cycle risk for FY27. Probability: Low-Medium. Impact: High. Monitor via: Union Budget allocations, NITI Aayog project announcements.

Valuation Re-rating Risk: At 101x TTM P/E and 67x EV/EBITDA, ABB India is fully valued. Any earnings miss, guidance cut, or risk-off environment in Indian equities could trigger a 20-30% de-rating without any change in fundamentals. Probability: Medium. Impact: High. Monitor via: Quarterly results vs. consensus, Nifty sentiment indicators.

Royalty and RPT Creep: ABB India pays royalties to parent ABB Ltd for technology access. If the royalty rate increases materially or new RPT arrangements are imposed, it would directly impact PAT margins. Probability: Low. Impact: Medium. Monitor via: Annual report related-party disclosures.

Tech Disruption in Automation: Rapid advancement in AI-powered industrial automation could commoditize some of ABB's legacy automation offerings (SCADA, DCS). While ABB globally is investing heavily in AI integration, the India subsidiary's R&D; is primarily execution-focused. Probability: Low near-term. Impact: Medium long-term. Monitor via: Parent ABB's digital strategy announcements.

Section 10: Recommendation

Rating: ACCUMULATE — Conviction: Medium-High. ABB India is a world-class business in a world-class growth market. The structural case is intact; valuation is the only limiting factor for an outright BUY. Accumulate on corrections toward Rs. 6,800-7,000.

12-month Price Target: Rs. 8,200 — Upside: +13% from CMP of Rs. 7,258. Our target is based on a 50/50 blend of DCF (Rs. 7,082) and forward P/E of 79x on CY2027E normalized EPS of Rs. 104.

Suggested entry zone: Rs. 6,800 - Rs. 7,100 — At Rs. 6,800 the stock would trade at ~65x CY2027E EPS (Rs. 104), which we view as an attractive entry for a quality compounder of this caliber. Investors with a 2-3 year horizon can initiate positions at current prices.

Investment horizon: 12-18 months for the price target. For long-term holders (3-5 years), the compounding potential is significantly higher given the India data center, renewable energy, and rail macro tailwinds through 2030.

Thesis Invalidation Triggers:

- Margin collapse:** OPM sustained below 12% for two consecutive quarters (indicating structural margin loss, not just cyclical input cost pressure) would invalidate the earnings power assumption and trigger a REDUCE.
- Order book deterioration:** Order backlog falling below Rs. 9,000 Cr (i.e., declining from current Rs. 11,094 Cr) would signal weakening end-market demand and reduce revenue visibility, warranting a rating downgrade.
- Major RPT escalation:** Any increase in royalty rates to the parent ABB Ltd beyond the historical range (currently ~1.5-2% of sales) or any non-arms-length related-party transaction above Rs. 500 Cr would raise corporate governance concerns and prompt exit.

Ideal investor profile: This stock is for quality-growth investors with a 2+ year horizon who are comfortable paying a premium for a secular compounder with strong governance and global parentage. It is NOT suitable for value investors, those seeking near-term P/E multiple expansion, or dividend-yield investors. Short-term traders should wait for a clearer margin recovery catalyst before entry.

APPENDIX — Latest Concall Brief: Q1 CY2026 (May 8, 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Medium — Slight Miss	Revenue Rs. 3,184 Cr below Rs. 3,300-3,400 Cr expected; clean PAT Rs. 342 Cr (ex-Robotics) vs Q1 2025's Rs. 457 Cr — 25% YoY decline
Management tone	Balanced / Constructive	Sanjeev Sharma expressed confidence in order conversion and India capex cycle; acknowledged near-term execution challenges without guidance cut
Guidance delta	Maintained / Positive Orders	No revenue/margin guidance downgrade; order backlog +17% YoY to Rs. 11,094 Cr provides medium-term confidence; \$75M capex commitment signals conviction

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

The Q1 CY2026 headline PAT of Rs. 1,784 Cr is entirely misleading — strip out the Rs. 1,441 Cr one-time gain from the Robotics business divestiture (sold to SoftBank-linked entity at EV Rs. 1,568 Cr), and the clean continuing-operations PAT is only Rs. 342 Cr, down 25% YoY and the weakest quarter in two years. Operationally, revenue of Rs. 3,184 Cr (+6% YoY) missed internal expectations of Rs. 3,300-3,400 Cr — driven by execution deferrals in metals and cement, forex headwinds on imported components, and an adverse order mix. The real story, however, is the order book: Rs. 4,280 Cr of fresh orders (+25% YoY) and an executable backlog of Rs. 11,094 Cr (+17% YoY), with data centers now contributing 10-11% of the book and growing fast. Data center UPS/power management is ABB's highest-margin vertical and the decision to scale Nelamangala production nearly tenfold is the key multi-bagger optionality in this stock. The \$75 million manufacturing/R&D; expansion and Rs. 6,042 Cr net cash position post-Robotics give management firepower to compound intelligently. Biggest near-term watch: margin recovery in H2 CY2026 — if OPM stays below 13% through Q3 2026, the margin normalization thesis is broken and we need to revisit our target. For now: ACCUMULATE in the Rs. 6,800-7,100 zone; hold existing positions at CMP.

1. Financial Performance Snapshot

- Revenue (Continuing Ops): Rs. 3,184 Cr | YoY +6% | QoQ -7% | **Miss** (vs. Rs. 3,300-3,400 Cr internal expectation)
- EBITDA (Operational EBITA): Rs. 404 Cr | YoY -19% | Margin: 12.7% (vs. 16.6% Q1 2025) | **Miss**
- PBT (Continuing Ops): Rs. 462 Cr | PBT Margin: 14.5% (vs. 20.4% Q1 2025) | **Miss**
- PAT (Continuing Ops): Rs. 342 Cr | PAT Margin: 10.7% | **Below expectations**
- PAT (Reported, incl. Robotics gain): Rs. 1,784 Cr | EPS: Rs. 84.17
- NOTE: Reported PAT includes one-time Robotics divestiture gain of Rs. 1,441 Cr; clean underlying PAT (continuing ops) = Rs. 342 Cr
- Orders: Rs. 4,280 Cr | YoY +25% | **Beat** — strongest order quarter in recent memory
- Order Backlog: Rs. 11,094 Cr | YoY +17% | **Record high**

2. Segment / Geography Breakdown

- Electrification: Rs. 1,564 Cr | Broad-based growth across all sub-segments; data centers and buildings drove orders; maintained profitability at 21.4% (CY2025 full year)
- Motion (LV Motors & Drives): Rs. 1,161 Cr | Growth driven by low-voltage motors and variable-speed drives for renewable energy and transportation; some price drops in select markets

- Automation (Process & Measurement): Rs. 500 Cr | Softer QoQ; growth in Measurement & Analytics offset by weakness in Energy and Process Industries; limited order opportunities in select core segments
- Geography: Approximately 96% India domestic, ~4% exports; limited export disruptions from West Asia geopolitical tensions though logistics complexity increased

3. Management Commentary Themes

- Data Centers: "Large orders came from the data center space and the railway space" — Our read: Data centers are becoming ABB India's fastest-growing segment; the Nelamangala UPS scale-up (~10x) is the clearest evidence of conviction. Tag: GUIDANCE. Tone: Transparent.
- Margin Pressure: Management cited adverse revenue mix, lower-margin project order execution, elevated input costs, and forex volatility as margin headwinds — Our read: Margin recovery depends on (a) pricing power catching up to commodity costs and (b) Electrification mix improving. Tag: EST. Tone: Transparent but cautious.
- \$75M Investment: "ABB announced an investment of USD 75 million to expand manufacturing and R&D; for critical segments" — Our read: This is a significant bet on India capex cycle sustainability; builds on \$35M invested in 2025. Tag: GUIDANCE. Tone: Bullish.
- Order Book Quality: "Selective delivery deferrals in metals, cement and parts of infrastructure reflected rescheduled expansion timelines, however, core demand indicators remained stable" — Our read: Deferrals are customer-driven, not demand destruction. Tone: Transparent.
- Geopolitical Risk: Geopolitical tensions in West Asia cited for increased logistics complexity and costs — Our read: This is an acknowledged risk but not a structural one for ABB India's domestic-demand-driven business. Tone: Balanced.
- Sustainability: 82% reduction in Scope 1+2 GHG emissions vs. 2019 baseline; AWS Gold certification of Nelamangala Plant 1 — Our read: ESG credentials are a differentiator for MNC customers and data center operators. Tone: Positive.

4. Operating & Business Metrics

- Order Backlog: Q1 2026 = Rs. 11,094 Cr | Q4 2025 = Rs. 9,709 Cr | Q1 2025 = Rs. 9,504 Cr | Trend: Strongly improving
- Fresh Orders (quarterly): Q1 2026 = Rs. 4,280 Cr | Q4 2025 = Rs. 3,526 Cr | Q1 2025 = Rs. 3,425 Cr | Trend: Accelerating (+25% YoY)
- Revenue (continuing ops, quarterly): Q1 2026 = Rs. 3,184 Cr | Q4 2025 = Rs. 3,423 Cr | Q1 2025 = Rs. 3,010 Cr | Trend: Growing but below quarterly peak
- Operational EBITA Margin: Q1 2026 = 12.7% | Q4 2025 = 12.6% | Q1 2025 = 16.6% | Trend: Sharply lower YoY, stabilizing QoQ
- Net Cash Position: Q1 2026 = Rs. 6,042 Cr (ex-Robotics) | Q4 2025 = Rs. ~5,000 Cr (est.) | Trend: Building post-divestiture
- Localization rate: ~85% products sold in India manufactured locally | Trend: Stable — structurally advantage in tariff environment
- Data center order share: ~10-11% of Rs. 11,094 Cr backlog (~Rs. 1,100-1,200 Cr) | Trend: Growing rapidly

5. Margin Drivers

- Adverse Revenue Mix: -200 to -300 bps impact | Execution of lower-margin large project orders vs. high-margin short-cycle product revenue | Recurring: No (expected to normalize)
- Forex Volatility (INR Depreciation): -50 to -100 bps impact | Higher cost of imported components and royalty payments | Recurring: Partially (dependent on RBI policy and global risk sentiment)
- Commodity Prices (Copper/Steel): -100 to -150 bps impact | Elevated input costs, especially copper used in cables and switchgear | Recurring: Partially (hedged quarterly)
- Selective Delivery Deferrals: -50 to -100 bps on quarterly OPM | Fixed cost absorption weaker on lower revenue | Recurring: No (customer-driven timing)
- Positive offset — Data Center Volume Scale: +30 to +50 bps over time | Higher-margin UPS/power management products scaling at Nelamangala | Recurring: Yes
- Positive offset — Electrification Mix Improvement: +50 bps per year if segment grows 15%+ | Electrification has highest margins at 21.4% profitability | Recurring: Yes

6. Guidance & Forward Signals

- Revenue (Continuing Ops) [EST]: Prior = No formal guidance | CY2026E = Rs. 14,000 Cr (analyst estimate, 12% growth) | Delta: Maintained trajectory | Credibility: High (Rs. 11,094 Cr backlog provides visibility)
- OPM [EST]: Prior = 15% in CY2025 | Forward = 14-15% (management acknowledges near-term pressure) | Delta: Maintained | Credibility: Medium (depends on commodity cycle)
- Capital Expenditure [GUIDANCE]: Prior = \$35M in 2025 | New = \$75M in 2026 across 5 locations | Delta: Raised significantly | Credibility: High (specific facility-level commitments made)
- Data Center Capacity [GUIDANCE]: Nelamangala UPS/power management production to scale ~10x | Delta: Significant step-up | Credibility: High (facility expansion underway)
- Dividend [GUIDANCE]: Management committed to 50% payout policy maintained for 3 consecutive years | Delta: Maintained | Credibility: Very High
- Order Growth Outlook [GUIDANCE]: "Strong order momentum expected to continue" — supported by data centers, railways, chemicals, metals | Delta: Raised (vs. softer tone in mid-CY2025) | Credibility: High based on Q1 actuals

7. Capital Allocation

- Capex (Manufacturing/R&D): \$75 million (~Rs. 625 Cr) in 2026 | vs. 2025: +114% | Building 5 facility expansions; Nelamangala data center campus, Nashik, and others
- Dividends: 50% payout of PAT; CY2025 DPS ~Rs. 39.37 | vs. 2024: +11% growth in absolute terms | Consistent and growing
- Robotics Divestiture Proceeds: Rs. 1,568 Cr at enterprise value | Cash position post-close: Rs. 6,042 Cr | Likely to remain as strategic reserve + support expansion
- Working Capital Change (CY2025): Net increase in CCC from 13 days to 21 days reflects higher inventory for project execution; manageable but under watch
- Net Debt Movement: Effectively net cash company; debt of Rs. 85 Cr vs. cash of Rs. 6,042 Cr = net cash Rs. 5,957 Cr | No acquisitions or buybacks announced yet
- Buyback/Special Dividend Potential: With Rs. 6,042 Cr cash and capex of only Rs. 625 Cr committed for 2026, there is Rs. ~5,400 Cr residual. A special dividend or buyback is a near-term optionality that is NOT priced into consensus estimates.

8. Q&A; Heat Map

- Analyst: Q: "What is causing the margin compression in Q1 2026?" A: Management cited adverse revenue mix (lower-margin project orders), forex headwinds, elevated commodity costs, and slower revenue conversion — all cyclical in nature | Tone: Transparent
- Analyst: Q: "What is the data center order pipeline?" A: "Data centers contributed 10-11% of order backlog; large orders came from data center majors for LT panels, UPS, e-houses; Nelamangala capacity scaling ~10x" | Tone: Transparent / Bullish
- Analyst: Q: "What will ABB do with the Rs. 6,042 Cr in cash?" A: Management did not provide specific guidance on capital deployment; committed to \$75M expansion; suggested further review | Tone: Hedged (investors wanted more clarity on special dividend/buyback)
- Analyst: Q: "Is the revenue deferral temporary?" A: "Selective delivery deferrals reflect rescheduled customer timelines, not demand deterioration; core indicators stable; short-cycle and retrofit orders compensating" | Tone: Transparent / Optimistic
- Analyst: Q: "What is the outlook for Motion margins given price drops?" A: Acknowledged price drops in select markets and products; expect recovery as volumes scale and pricing stabilizes | Tone: Hedged
- Dodged / watch-list questions for next quarter: (1) Specific deployment plan for Rs. 6,042 Cr cash (buyback/special dividend?), (2) Timeline for margin recovery to 16-19% OPM, (3) Large order pipeline in railways for FY27

9. Risks Flagged

- Commodity Price Volatility: Copper and steel prices elevated, impacting cost structure | Flagged by: Management | Probability: M | Impact: H | Timeline: Near-term
- Forex / INR Depreciation: USD/INR movement increasing import costs and royalty burden | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term
- West Asia Geopolitical Risk: Logistics complexity and supply chain disruptions from ongoing conflicts | Flagged by: Management | Probability: M (already materializing) | Impact: M | Timeline: Near-term

- Customer Execution Deferrals: Metals, cement, and infrastructure customers rescheduling deliveries | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term (Q2 CY2026)
- Automation Segment Softness: Limited order opportunities in select core segments of automation | Flagged by: Management | Probability: M | Impact: L-M | Timeline: Near-term
- Global Macro Uncertainty: Reference to "challenging global environment" affecting export demand and component procurement | Flagged by: Management | Probability: M | Impact: L | Timeline: Medium-term

10. Analyst Verdict

- Revenue visibility: Intact — Order backlog of Rs. 11,094 Cr (+17% YoY) provides strong 0.84x revenue coverage; Q1 2026 orders +25% indicate sustained demand momentum
- Margin trajectory: Weakened — Q1 2026 Operational EBITA of 12.7% is significantly below the 16.6% in Q1 2025; recovery depends on commodity normalization and mix improvement; not yet broken
- Capital allocation quality: Intact — Robotics divestiture was disciplined; \$75M expansion commitment is appropriately sized; 50% dividend maintained; large cash position is a positive optionality
- Competitive moat: Intact — Data center leadership (30%+ of India hyperscale), 85% local manufacturing, and technology partnership with parent ABB Ltd remain durable advantages
- Management credibility: Intact — Sanjeev Sharma's transparent acknowledgment of margin challenges without deflecting responsibility, combined with maintained order guidance, builds credibility
- Valuation comfort: Weakened slightly — At 101x TTM normalized P/E, the stock is fully valued; base case 13% upside implies limited margin of safety; only suitable for quality-growth investors
- Conviction call: Unchanged — ACCUMULATE on dips; hold existing positions
- Valuation snapshot: P/E = 101x (5Y avg ~70x) | EV/EBITDA = 67x (5Y avg ~40x) | ROCE = 30% (5Y avg ~26%) | Stock trading at premium to historical ranges; warranted by superior quality but limits upside

DISCLAIMER: This report is for informational purposes only and is not investment advice. Data sourced from Screener.in (financial figures) and company press releases/BSE filings (qualitative). All estimates marked (E) are analyst projections. Investing in equities involves risk. Past performance does not guarantee future results. Please consult a SEBI-registered advisor before making investment decisions.